its objectives, and that the complexities and delays of the licencing system operated in favour of larger industrial houses'.

Instead of correcting the fundamental illogic of industrial policy, the government went on a spree to further tighten licencing policies over the next fifteen years (1965–1980) and also enacted other legislations like the Monopolies and Restrictive Practices Act (MRTP Act). These measures compounded the original sin.

The Industrial Licencing Policy of 1970 imposed additional severe restrictions on 'large industrial houses'. A new concept of 'core' industries was evolved—similar to the Schedule A industries of the 1956 Policy—and new investment of Rs 5 crore or more was categorized as 'heavy investment'. The government tightened the policy further in the space in which the private sector was earlier allowed to invest by mandating that heavy investment in core industries could be made only in the joint sector. Further, for all industrial investments in the middle sector (Rs 1 crore to Rs 5 crore), it was decided to give special consideration to the 'licence applications of parties other than undertakings belonging to the larger industrial houses'. Essentially, the ostensible intent was to tweak and tighten the country's licencing system in a way to control and contain existing industrial houses.

Controlling Monopolies and Dominance Another Weapon against Private Industry

The government appeared more worried about the 'concentration of economic power' by the end of the 1960s rather than the industrialization of the economy. To stop the concentration of economic power, the MRTP Act was enacted in 1969. The motivation was to control monopolies and restrictive trade practices 'injurious to the public welfare'.

Every undertaking which, by itself or with interconnected undertakings, controlled not less than one-third of production, supply or distribution of a